



Magíster en Estadística, PUCV

Regression with Regularization: Ridge and Lasso

Alejandro Veloz

Overview

1. Least squares and why it fails.
2. Ridge regression: definition, solution, the SVD picture.
3. Ridge as MAP estimation with a Gaussian prior.
4. The lasso: definition and geometry.
5. Why the lasso selects variables: soft thresholding.
6. Computing the lasso: coordinate descent and the path.
7. L_q penalties and the elastic net.
8. Choosing λ in practice.

Notation for this lecture

We use the ESL convention throughout:

$$\mathbf{X} \in \mathbb{R}^{N \times p}, \quad \mathbf{y} \in \mathbb{R}^N, \quad \boldsymbol{\beta} \in \mathbb{R}^p$$

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- Inputs are **standardized**: $\frac{1}{N} \sum_i x_{ij} = 0$ and $\frac{1}{N} \sum_i x_{ij}^2 = 1$ for every j .
- The response is **centered**: $\bar{y} = 0$, so the intercept β_0 drops out and is never penalized.

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Careful: in ESL Chapter 3, t denotes the **budget** in $\sum_j |\beta_j| \leq t$ — it is *not* a target. Bishop's targets t_n are ESL's y_i .

Least squares: the starting point

$$\hat{\beta}^{\text{ls}} = \arg \min_{\beta} \text{RSS}(\beta) = \arg \min_{\beta} (\mathbf{y} - \mathbf{X}\beta)^{\top}(\mathbf{y} - \mathbf{X}\beta)$$

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Setting the gradient to zero gives the **normal equations** $X^{\top}X\beta = X^{\top}y$,
so

$$\hat{\beta}^{\text{ls}} = (X^{\top}X)^{-1}X^{\top}y, \quad \text{Cov}(\hat{\beta}^{\text{ls}}) = \sigma^2(X^{\top}X)^{-1}$$

Least squares: the starting point

$$\hat{\beta}^{\text{ls}} = \arg \min_{\beta} \text{RSS}(\beta) = \arg \min_{\beta} (y - X\beta)^T (y - X\beta)$$

Setting the gradient to zero gives the **normal equations** $X^T X \beta = X^T y$,
so

$$\hat{\beta}^{\text{ls}} = (X^T X)^{-1} X^T y, \quad \text{Cov}(\hat{\beta}^{\text{ls}}) = \sigma^2 (X^T X)^{-1}$$

By the **Gauss–Markov theorem**, $\hat{\beta}^{\text{ls}}$ has the smallest variance among all *unbiased* linear estimators.

Why least squares fails

1. **Collinearity.** If columns of X are nearly dependent, $X^T X$ is ill-conditioned and $\text{Cov}(\hat{\beta}) = \sigma^2 (X^T X)^{-1}$ has huge entries. Coefficients become large, unstable and of erratic sign.
2. $p > N$. Then $X^T X$ is singular: infinitely many solutions, all with zero training error.
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All three are fixed by adding a penalty on the size of β .

Ridge regression

Two equivalent formulations (ESL 3.41 and 3.42).

Penalized form

$$\hat{\beta}^{\text{ridge}} = \arg \min_{\beta} \left\{ \sum_{i=1}^N \left(y_i - \sum_{j=1}^p x_{ij} \beta_j \right)^2 + \lambda \sum_{j=1}^p \beta_j^2 \right\}$$

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One-to-one correspondence between $\lambda \geq 0$ and $t \geq 0$: large $\lambda \leftrightarrow$ small t .

The ridge solution

In matrix form,

$$\text{RSS}(\lambda) = (\mathbf{y} - \mathbf{X}\beta)^T(\mathbf{y} - \mathbf{X}\beta) + \lambda\beta^T\beta$$

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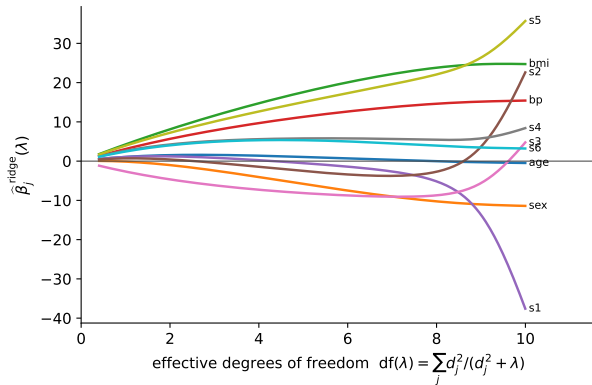
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- $\mathbf{X}^T\mathbf{X} + \lambda\mathbf{I}$ is **always** invertible for $\lambda > 0$, even when $p > N$.
- The problem is strictly convex $\Rightarrow$ a unique solution.
- $\lambda \rightarrow 0$ recovers least squares; $\lambda \rightarrow \infty$ drives $\hat{\beta} \rightarrow 0$.

Ridge coefficient paths



Diabetes data ($N = 442, p = 10$). Each curve is one $\hat{\beta}_j$ as λ varies.

Ridge through the SVD

Let $X = UDV^T$ with $D = \text{diag}(d_1 \geq \dots \geq d_p)$. Then (ESL 3.47):

$$X\hat{\beta}^{\text{ls}} = \sum_{j=1}^p u_j u_j^T y$$

$$X\hat{\beta}^{\text{ridge}} = \sum_{j=1}^p u_j \frac{d_j^2}{d_j^2 + \lambda} u_j^T y$$

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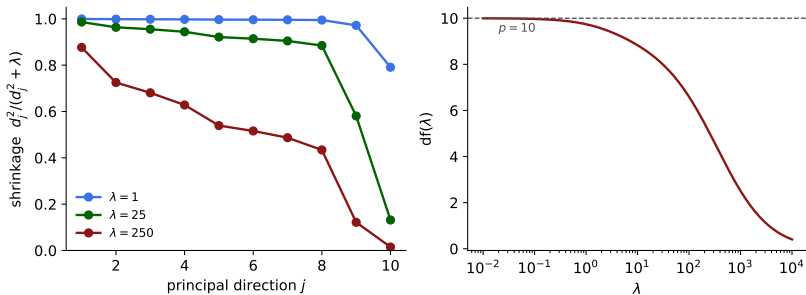
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Ridge projects y onto the principal directions and **shrinks each coordinate by** $d_j^2 / (d_j^2 + \lambda) \leq 1$.

Directions with small d_j — those in which the data has least variance — are shrunk most.

Effective degrees of freedom



$$df(\lambda) = \text{tr}[X(X^T X + \lambda I)^{-1} X^T] = \sum_{j=1}^p \frac{d_j^2}{d_j^2 + \lambda}$$

Ridge as MAP estimation

Bishop §3.3. Gaussian likelihood, Gaussian prior on the parameters:

$$p(\mathbf{t} \mid \mathbf{w}) = \prod_{n=1}^N \mathcal{N}(t_n \mid \mathbf{w}^\top \boldsymbol{\phi}(\mathbf{x}_n), \beta^{-1}), \quad p(\mathbf{w}) = \mathcal{N}(\mathbf{w} \mid 0, \alpha^{-1} \mathbf{I})$$

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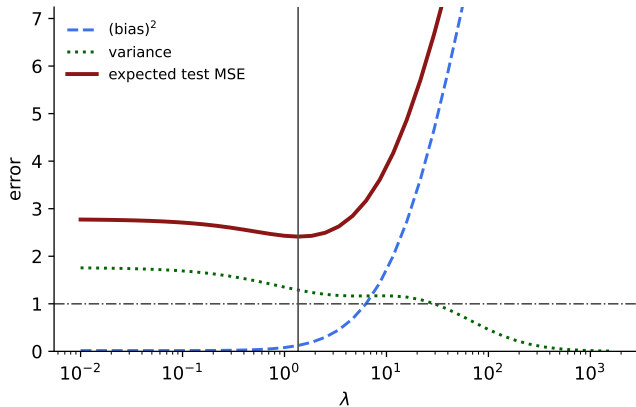
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This is ridge regression with $\lambda = \alpha/\beta$.

Ridge and the bias–variance trade-off



Simulation: $N = 40, p = 25$. Bias grows with λ , variance falls, and the sum has an interior minimum.

The lasso

Tibshirani (1996); ESL §3.4.2. Replace the L_2 penalty by an L_1 penalty.

$$\hat{\beta}^{\text{lasso}} = \arg \min_{\beta} \left\{ \frac{1}{2} \sum_{i=1}^N \left(y_i - \sum_{j=1}^p x_{ij} \beta_j \right)^2 + \lambda \sum_{j=1}^p |\beta_j| \right\}$$

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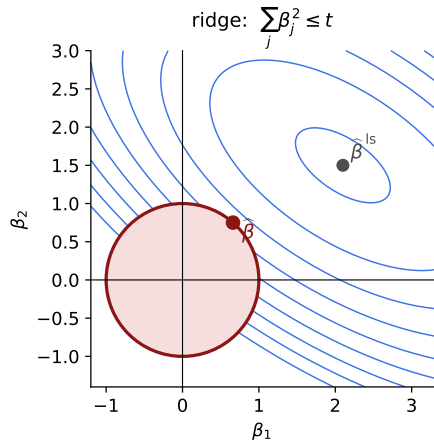
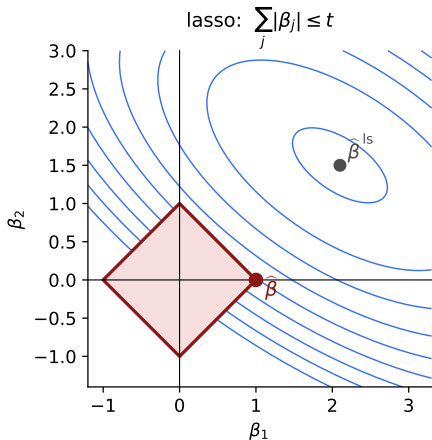
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- Still **convex**, so there are no local minima.
- **Not differentiable** at $\beta_j = 0$: no closed form, and that is precisely where the interesting behavior comes from.
- Produces **exactly zero** coefficients $\Rightarrow$ continuous variable selection.

Why the lasso selects: the geometry



Blue: contours of $RSS(\beta)$, centered at $\hat{\beta}^{ls}$. Red: the feasible region.

The orthonormal case: closed forms

When $X^T X = I$, all three estimators are explicit functions of $\hat{\beta}_j^{\text{ls}}$ (ESL Table 3.4):

Estimator	$\hat{\beta}_j$
Best subset (size M)	$\hat{\beta}_j^{\text{ls}} \cdot \mathbb{1}(\hat{\beta}_j^{\text{ls}} \geq \hat{\beta}_{(M)}^{\text{ls}})$
Ridge	$\hat{\beta}_j^{\text{ls}} / (1 + \lambda)$
Lasso	$\text{sign}(\hat{\beta}_j^{\text{ls}}) (\hat{\beta}_j^{\text{ls}} - \lambda)_+$

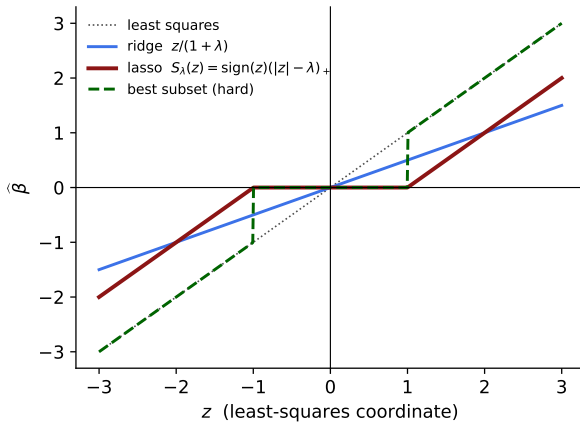
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The lasso applies **soft thresholding** $S_\lambda(z) = \text{sign}(z)(|z| - \lambda)_+$; best subset applies **hard thresholding**; ridge applies **proportional shrinkage**.

Thresholding functions



Computing the lasso: coordinate descent

Cycle over $j = 1, \dots, p$, holding the others fixed. The partial residual is

$$r_i^{(j)} = y_i - \sum_{k \neq j} x_{ik} \hat{\beta}_k$$

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and the one-dimensional problem has the soft-threshold solution

$$\hat{\beta}_j \leftarrow \frac{S_\lambda(\sum_{i=1}^N x_{ij} r_i^{(j)})}{\sum_{i=1}^N x_{ij}^2}$$

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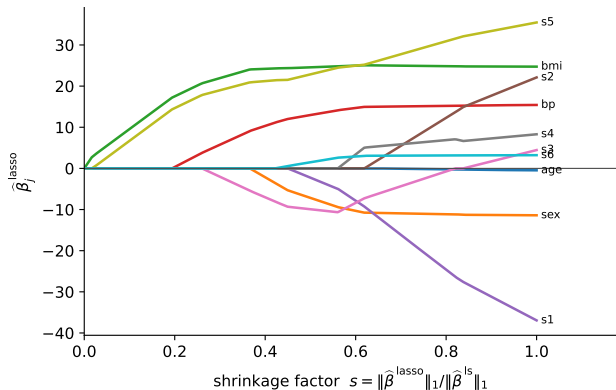
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Repeat to convergence. Extremely fast with **warm starts** along a grid of λ (ESL §3.8.6; glmnet).

Lasso coefficient paths



Same data as before. $s = \|\hat{\beta}^{\text{lasso}}\|_1 / \|\hat{\beta}^{\text{ls}}\|_1$; the path is piecewise linear in λ (LARS, ESL §3.4.4).

L_q penalties: a family

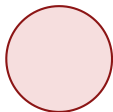
$$\min_{\beta} \sum_{i=1}^N \left(y_i - \sum_j x_{ij} \beta_j \right)^2 + \lambda \sum_{j=1}^p |\beta_j|^q$$

$$\sum_j |\beta_j|^q \leq 1$$

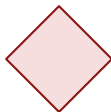
$q = 4$



$q = 2$



$q = 1$



$q = 0.5$



$q = 0.1$

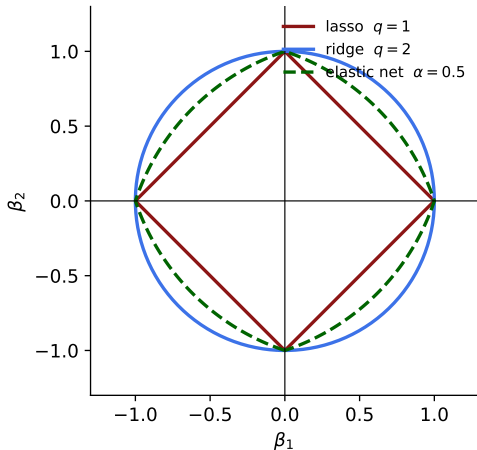
$q = 2$: ridge. $q = 1$: lasso. $q = 0$: subset selection. $q < 1$ is sparser still but **non-convex**.

The elastic net

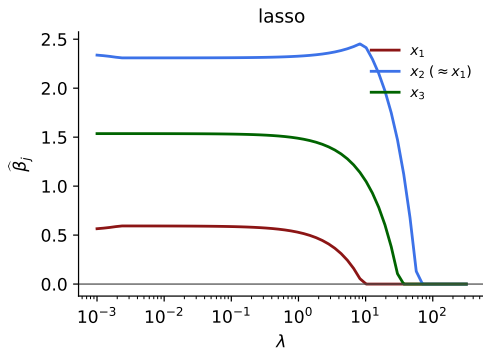
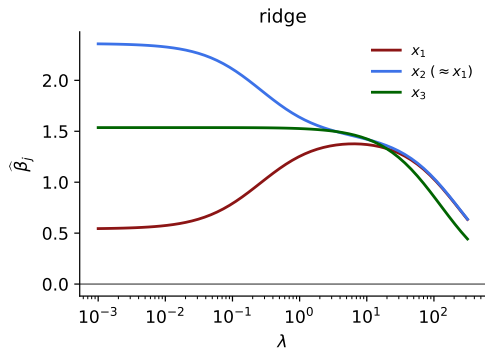
$$\lambda \sum_{j=1}^p \left(\alpha \beta_j^2 + (1 - \alpha) |\beta_j| \right)$$

Zou & Hastie (2005); ESL §3.4.

- Selects like the lasso, shrinks correlated groups together like ridge.
- Convex; has corners; the boundary is strictly convex between them.
- Handles $p \gg N$ where the lasso saturates at N variables.

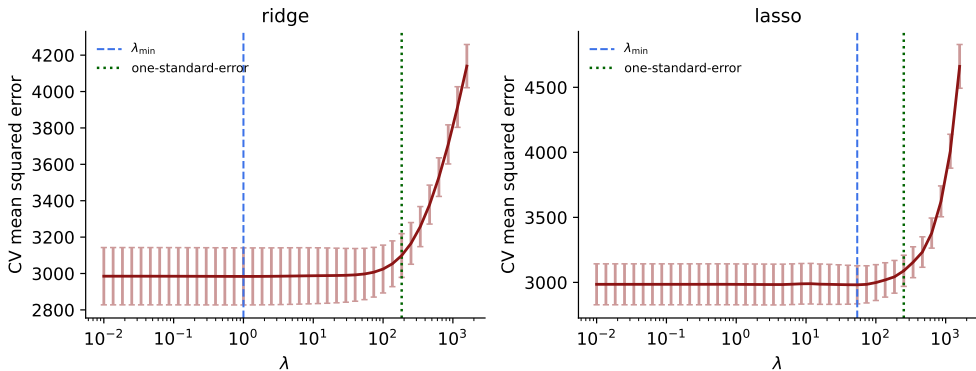


Correlated predictors: ridge versus lasso



x_1 and x_2 are almost identical copies of the same signal.

Choosing λ



10-fold CV. Blue: $\lambda_{\min}$. Green: the largest λ within one standard error of the minimum.

Ridge versus lasso: summary

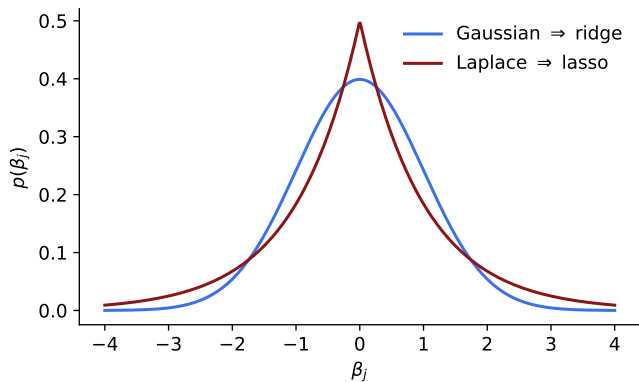
	Ridge (L_2)	Lasso (L_1)
Penalty	$\lambda \sum_j \beta_j^2$	$\lambda \sum_j \beta_j $
Solution	closed form	no closed form (coordinate descent)
Sparsity	never exactly zero	exact zeros; selects variables
Path in λ	smooth	piecewise linear
Correlated inputs	shares weight	picks one, arbitrarily
$p > N$	fine	selects at most N variables
Bayesian prior	Gaussian	Laplace
Best when	many small effects	few large effects

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In doubt: try both, plus the elastic net, and let cross-validation decide.

Priors behind the penalties



Ridge = MAP under $\beta_j \sim \mathcal{N}(0, \tau^2)$. Lasso = MAP under $\beta_j \sim \text{Laplace}(0, b)$.

Summary

- Least squares is minimum-variance among **unbiased** estimators — accepting bias can do better.
- **Ridge**: L_2 penalty, closed form, shrinks along principal directions by $d_j^2 / (d_j^2 + \lambda)$; never sparse.
- **Lasso**: L_1 penalty, soft thresholding, exact zeros; $q = 1$ is the only exponent that is both convex and sparsity-inducing.
- Both are MAP estimates: Gaussian prior for ridge, Laplace for the lasso.
- Standardize the inputs, never penalize the intercept, choose λ by cross-validation with the one-standard-error rule.